Securities Legislation

Governance: The King IV Code (and King V Code Draft)

focus on stakeholder inclusive approach

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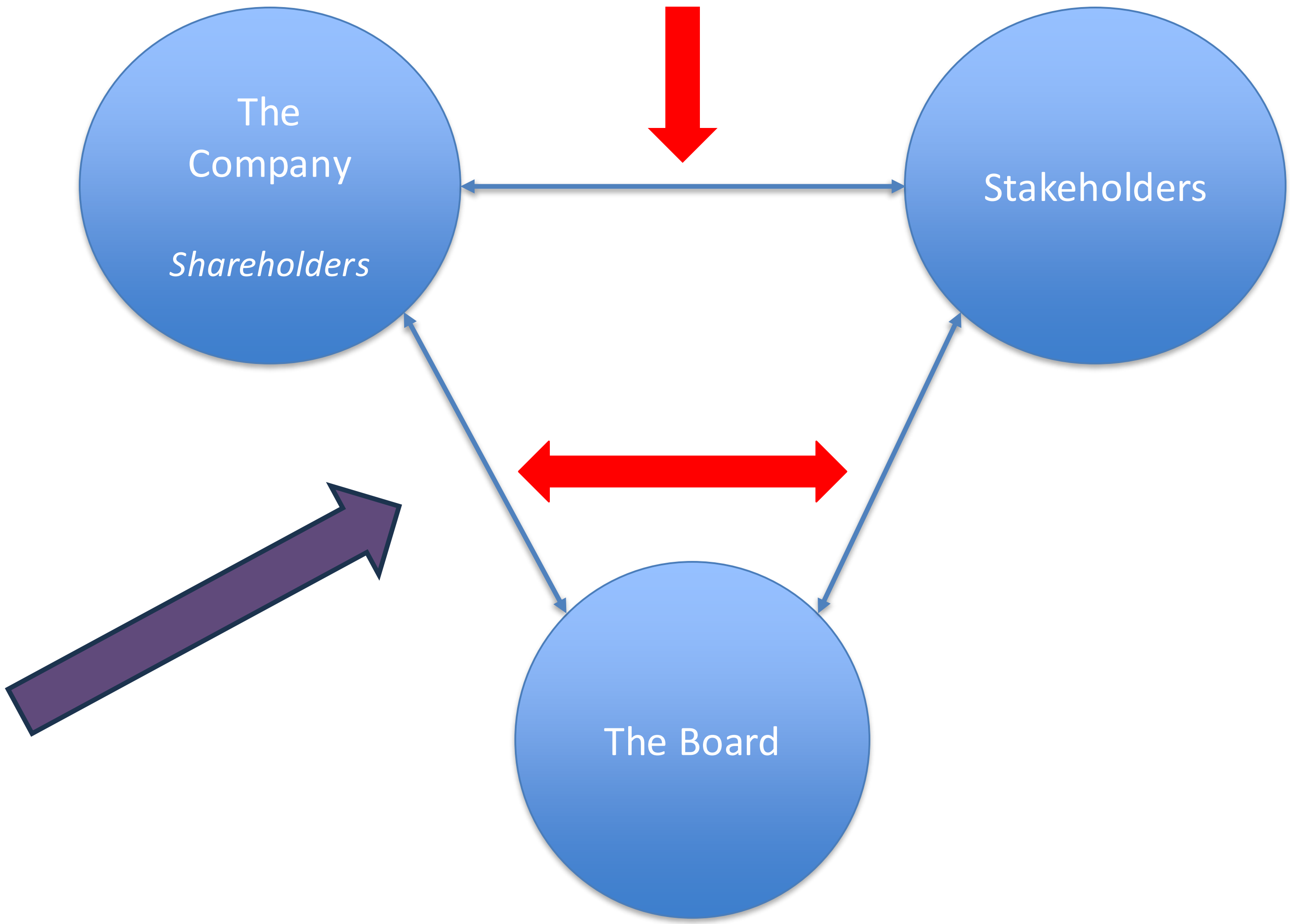
Brief Recap

A proper appreciation of governance is not *only* concerned with the law and regulation


The Company
Shareholders
Stakeholders
The Board

Contemporary Basic Models of Corporate Governance:

- <u>(1) Anglo-Saxon or Anglo-American Model:</u>
  - Primary focus: the enhancement of shareholder value (shareholder primacy)
- <u>(2) German/Continental Model:</u>
  - Primary focus: stakeholder groups *in general* (stakeholder primacy
  - **Typically argued to be 'more appropriate' for the African context:**
  - **Company Morality**:
    - Deontology (i.e. duty-based) vs Teleology (i.e. utilitarian-based)
    - King Codes (especially King III and King IV)
      - See especially: King IV Report (i.e. outline of the stakeholder-inclusive approach of corporate governance, and the relationship with the triple-context and 6-capitals models)

10:00
6 capitals : fin., manufactured, human, intellectual, natural & social, relationship capital
triple : economic, social, environmental

10:30 essay : use "integrating"

11:40

understand how critical stakeholder inclusivity is

"An approach in which the governing body takes into account the ***legitimate and reasonable needs, interests and expectations of all material stakeholders in the execution of its duties in the best interests of the organisation over time****. By following this approach, instead of prioritising the interests of the providers of financial capital, the governing body gives parity to <u>all sources of value creation, including, among others, social and relationship capital as embodies by stakeholders</u>. Consequently, this is an inclusive, stakeholder-centric approach which stands in contrast with a shareholder-centric approach."*

- Definition: Stakeholder inclusivity

King IV: Glossary of Terms

"Organisations in the early twenty-first century are confronted with a unique set of ***moral issues*** *requiring moral theory…stakeholder theory is a strong candidate for such a theory of organisational ethics. There, an amended principle of fair play – the principle of fairness – provides a valid source of* ***moral obligations*** *among stakeholders that has been therefore missing in the literature on stakeholder theory."*

- Robert Phillips

Stakeholder theory and organisational ethics

13:30

King IV Code

Who publishes it? What is it? Why is it relevant?

Introduction to the King IV Code

- **What is the King IV Code?**
  A set of corporate governance principles and practices aimed at promoting ethical and effective leadership.
- **Publisher:**
  Developed and published by the **Institute of Directors in South Africa (IoDSA)**.
  - IoDSA are a private organisation.
  - **Criticism:**
    The Code is not published by a government entity or regulator, leading to debates about its authority and enforceability.
  - IoDSA also publishes the CRISA 2.0
    code of responsible investing in SA
- **Purpose:**
  Provides a framework for corporate governance that aligns with international trends while addressing unique challenges in the South African context.

History of the King Code

King I (1994):
- Introduced to enhance governance in post-apartheid South Africa.
- Focused on financial and regulatory compliance, with a stakeholder-centric approach.

King II (2002):
- Expanded governance to include sustainability and triple bottom line reporting.
- Covered public and non-profit sectors.

King III (2009):
- Developed in response to the Companies Act of 2008 and global governance failures.
- Introduced the **"apply *or* explain"** ...porting.

64 practices

sig. Δ

explain how you apply it

King IV (2016):
- Emphasised outcomes-based governance and the **"apply *and* explain"** philosophy.
- Promoted ethical leadership, integrated thinking, and stakeholder inclusivity.

16 principles +1

King V (2025-6?):
- Very similar to King IV Code - new additions (i.e. AI Governance)
- Enhanced "apply and explain" philosophy: 12 principles
- New standardised reporting templates to enhance “apply and explain”

critical Δs : more accessible to companies

Shift From King III to King IV

- **Trends**
  - **Inclusive Capitalism** – capitalism as the "engine of shared prosperity"
    - Financial
    - Human
    - Intellectual
    - Social *and* Relationship
    - Natural

    The "6-Capitals"
  - Short term capital markets to long term sustainable capital markets
  - Siloed reporting to integrated reporting
    - Radical transparency as it relates to stakeholders
  - Stakeholder management (shareholders to creditors, employees, customers, suppliers)
  - Technology governance and security (disaster recovery plan)
  - Strategy

 Essay 40 :10

Specific Terms: King IV

Accountability

Obligation to answer for the execution of responsibilities which cannot be delegated

Assurance (ERM = Enterprise Risk Management)

Diligent application of mind to evidence which results in a statement for the purposes of enhancing confidence in the subject matter and can be provided

1. Own line management (1st line of defence)
2. Risk management and compliance specialist functions (2nd line of defence)
3. Internal and/or external auditors, Regulators (3rd line of defence)

Corporate Governance

Ethical and effective leadership by the governing body to achieve:

- Ethical culture;
- Good performance;
- Effective Control;
- Legitimacy

Ethics

Considering what is good and right for self and other – the values applied to decision making, conduct and the relationship between the organisation and stakeholders and society

Specific Terms: King IV (cont.)

Independence
40:30

The exercise of objective, unfettered judgement. When measuring the appearance of independence or to categorise membership of the governing body: absence of an interest, position, association or relationship which, when judged from the perspective of a reasonable and informed third party, is likely to influence unduly or cause bias in decision-making

Stakeholder inclusivity
41:28

An approach by the governing body that considers the legitimate and reasonable needs, interests and expectations of all material stakeholders in the execution of its duties in the best interests of the organisation over time. Equivalent value to all sources of value creation including social and relationship capital and not only providers of financial value

Triple context

Combined context of economy, society, environment in which the organisation operates

Underlying Philosophy of King IV

- **Principle-Based Approach:**
  Focuses on ***outcomes-based governance*** rather than rigid compliance.
- emphesizes
  Ethical Leadership: e.g dignity + respect in executing decisions
  Emphasises integrity, accountability, fairness, and transparency.
- **Integrated Thinking:**
  Encourages the consideration of financial, human, intellectual, natural, social, and manufactured capitals.
- **Stakeholder Inclusivity:**
  Promotes value creation for all stakeholders, not just shareholders.

Legal Relevance of the King IV Code

- **Voluntary Application (*but…*):**
  - Not legally binding but serves as a benchmark for governance practices.
  - Mandatory Application – Public Companies (JSE Listed)
- **Alignment with Legislation:**
  - Complements the **Companies Act of 2008**.
  - Provides practical guidance, especially for public and state-owned entities.
- **Legal Influence:**
  Courts may refer to the King IV Code when evaluating governance practices.

"tick box compliance"

The 'Apply and Explain' Philosophy

- **Definition:**
  Organisations must apply the principles and explain how they have been implemented.
- **Key Features:**
  - Shifts from "apply ***or*** explain" to reinforce accountability.
  - Focuses on **demonstrating** governance **outcomes**.
- **Intended Outcome:**
  Encourages ***genuine adoption of principles*** rather than superficial compliance.

Challenges of the 'Apply and Explain' Philosophy

- **Interpretation Ambiguity:**
  Difficulties in interpreting and operationalising principles.
- **Reporting Burden:** report greening : excluding bad news
  Comprehensive explanations may increase administrative workload.
- **Consistency Issues:**
  Diverse interpretations can lead to inconsistent governance standards.
- **Risk of Superficiality:**
  Some organisations may focus on justifying practices instead of genuine improvement.

In Sum: Relevance of King IV

- **Global Alignment:**
  Reflects international best practices while addressing African governance contexts.
- **Adaptable Framework:**
  Suitable for organisations of all sizes and types.
- **Impact:**
  Promotes ethical leadership, sustainable value creation, and robust stakeholder relationships.
- **Future of Governance:**
  Essential for navigating governance, ethics, and compliance in Africa.

King IV Code

Specific Principles

* Definitely in exam 1:06:06 know some, but not word for word
-know big picture

Principle 1: The governing body should lead ethically and effectively

practices:

- Integrity – acting in good faith; best interests of the organisation; avoid conflicts; beyond legal compliance, set the tone
- Competence – working knowledge of the organisation; industry; capital; key laws; etc; due care skill and diligence; continuous development
- Responsibility – collective responsibility for steering the organisation; approving policy and overseeing implementation by management; courage in risk taking in a responsible way; take responsibility for anticipating and ameliorating negative impact of decisions and direction; attend meetings and devote adequate time and effort
- Accountability – answer for their responsibilities
- Fairness – adopt a stakeholder-inclusive approach; direct the organisation so as not to negatively impact natural environment; society and future generations
- Transparency – be transparent

Principle 2: The governing body should govern the ethics of the organisation in a way that supports the establishment of an ethical culture

- Setting an ethical direction for how ethics are addressed in the organisation
- Approve a code of ethics
  - That encompasses the interaction with stakeholders
  - Addresses the key ethical considerations of the organisation
- Awareness
  - Publish the code internally and externally; contract with suppliers and employees; train employees
- Governing body to
  - Delegate responsibility for implementation and execution
  - Monitor effectiveness specifically in recruitment; evaluation of performance and reward of employees
  - Have sanctions and remedies for breaches
  - Include whistle-blowing provisions
  - Periodic independent assessments
- Disclose
  - Arrangements for governing and managing ethics
  - Key focus areas
  - Measures taken to monitor ethics and the outcomes
  - Future focus areas

Principle 3: The governing body should ensure that the organisation is and is seen to be a responsible corporate citizen

- Assume responsibility for approaching and addressing corporate citizenship
- Ensure compliance with Constitutions; laws; leading standards and own codes
- Oversee that the core purpose and values, strategy and conduct are congruent with being responsible corporate citizens
- Suggested measures (looking after stakeholders for sustainability):
  - Workplace (employment equity; fair remuneration and safety; health; dignity and development of employees)
  - Economy (economic transformation; prevention, detection and response to fraud and corruption; responsible and transparent tax policy)
  - Society (public health and safety; consumer protection; community development and protection of human rights)
  - Environment (pollution; waste disposal; protection of biodiversity)
- Disclose
  - Arrangements for governing and managing corporate citizenship
  - Key focus areas
  - Measures taken to monitor corporate citizenship and the outcomes
  - Future focus areas

Principle 4: The governing body should appreciate that the organisation's core purpose, its risks and opportunities, strategy, business model, performance and sustainable development are all inseparable elements of the value creation process

- Assume responsibility for steering and setting the direction for the realisation of core purpose and values through its strategy
- Delegate to management the formation and development of the short, medium and long-term strategy
- Approve the strategy and challenge with reference to
  - Timeliness and parameters for the short, medium and long-term time limits
  - Risks, opportunities and other significant matters within the triple context
  - Extent to which the strategy depends on resources and relationships connected to the various forms of capital
  - The legitimate and reasonable needs. Interests and expectations of material stakeholders
  - The increase, decrease or transformation of the various forms of capital that may result
  - Interconnectivity and inter-dependence of all of the above
- Approve policies and organisational plans including performance measures
- Ongoing oversight of the implementation of the strategy specifically the general viability with regard to viability; solvency and liquidity; going concern status
- Ensure continual assessment of and response to negative consequences
- Disclose – see reporting

Principle 5: The governing body should ensure that reports issued by the organisation enable stakeholders to make informed assessments of the organisation's performance and its short, medium and long-term prospects

- Assume responsibility for reporting by setting the direction for how it should be approached and directed
- Approve management's reporting framework
- Oversee reports such as annual financial statements; sustainability report; social and ethics committee reports or other reports issued to comply with legislative requirements and those that are designed to meet the legitimate and reasonable expectations of material stakeholders
- Annual Integrated report – standalone report that connects the more detailed reports and addresses, at a high level and in a complete and concise way, the matters that could significantly affect the organisation's ability to create value OR a section of the annual report that does the same thing.
- Oversee management's determination of "materiality" in reports
- Provide Assurance of external reports
- Publish (website or equivalent)
  - Corporate governance disclosures
  - Integrated reports
  - Annual financial statements and other external reports

Principle 6: The governing body should serve as the focal point and custodian of corporate governance in the organisation

- Steer the organisation by setting its strategic direction; approve policy and planning; oversee monitoring and implementation by management; ensure accountability for organisational performance by reporting and disclosure
- Document in a charter the role, responsibility, membership requirements and procedural conduct of the governing body
- Agree protocol for it or a member seeking independent, external professional advice at the cost to the organisation
- Agree protocol for non-execs to request documents from and meetings with Management
- Disclose
    - Number of meetings and attendance
    - Whether the governing body is satisfied that it has fulfilled responsibilities with its charter

Principle 7: The governing body should Comprise the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities objectively and effectively

- Composition
  - Appropriate mix per need, regulatory requirements, a quorum and diversity
  - Majority non exec
  - CEO and one other management must be included
  - Succession plan
- Nomination, election and appointment of members
  - Nominations should be approved by the whole governing body
  - Process transparent and formal
  - Re-election considered with reference to performance and attendance
  - Candidates for non-exec must provide details of professional commitments to ensure they have capacity
  - Present short profile for each candidate at AGM
  - Letter of appointment
  - Ensure incoming members can contribute in as short a time as possible (i.e. induction)
  - Programme of professional development

Principle 7: The governing body should Comprise the appropriate balance of knowledge, skills, experience, diversity and independence for it to discharge its governance role and responsibilities objectively and effectively

- Independence and conflicts
  - Declarations of interests at least annually (including related parties)
  - Declare conflicts with agenda items at each meeting
  - Define non-execs as independent if they meet the criteria on a substance over form basis
  - If independent category for more than nine years – assess independence at the end of each additional year
- Disclose
  - Satisfaction with composition
  - Targets set for diversity and whether met
  - Categorisation of exec and non-exec and independents
  - Qualifications and experience
  - Years of service on the governing body
  - Age
  - Other governing and professional positions held by each
  - Reasons for removal, resignation or retiral

Principle 8: The governing body should ensure that its arrangements for delegation within its own structures promote independent judgement, and assist with balance of power and the effective discharge of its duties

- General
  - Can delegate to individuals, standing or ad hoc committees
  - Formalise it in writing (specific form of the terms of reference)
  - Ensure delegation is holistic so there are no gaps between responsibilities
  - Minimum three members
  - Management can be invited
  - Each member of the governing body can attend as an observer
  - Accountability cannot be delegated

Principle 8: The governing body should ensure that its arrangements for delegation within its own structures promote independent judgement, and assist with balance of power and the effective discharge of its duties

- Disclose
  - Role and responsibilities
  - Composition incl each member's qualifications and experience
  - Attendees
  - Key areas of focus
  - Number of meetings and attendance
  - Whether the committee is satisfied that it fulfilled responsibilities
- Committees:
  - Audit Committee
  - Nominations Committee
  - Risk Governance Committee
  - Remuneration Committee
  - Social and Ethics Committee

Principle 9: The governing body should ensure that the evaluation of its own performance and that if its committees, its chair and its individual members, support continued improvement in its performance and effectiveness

- Evaluate
- Appoint independent member to lead the evaluation
- Review plan and performance to it
- Disclose
  - Description of the performance evaluation
  - Results and action taken
  - Whether governing body is satisfied that the evaluation process is improving performance and effectiveness

Principle 10: The governing body should ensure that the appointment of and delegation to management contribute to role clarity and the effective exercise of authority and responsibilities

- CEO
  - Specific recommendations including agreeing the number and type of professional roles; succession planning; confirm accountability to governing body
  - Disclose notice period; other professional positions and succession plan
- Delegation
  - Set the direction and parameters for delegation; approve a scheme of delegation; over see that key functions have the necessary authority, competency and resources
- Professional corporate governance services for the governing body
  - Access to professional independent advice

Principle 11: The governing body should govern risk in a way that supports the organisation in setting and achieving its strategic objective

- Set direction
- Treat risk as integral indecision making
- Delegate responsibility for risk management
- Periodic independent assurance of risk management effectiveness
- Specific disclosures

Principle 12: The governing body should govern technology and information in a way that supports the organisation in setting and achieving its strategic objective

- Set direction
- Approve policy
- Delegate responsibility for risk management
- Ongoing oversight
- Periodic independent assurance of risk management effectiveness
- Specific disclosures

Principle 13: The governing body should govern compliance with applicable laws and adopted, non-binding rules, codes and standards in a way that supports the organisation being ethical and a good corporate citizen

- Assume accountability
- Approve policy
- Delegate the responsibility
- Ongoing oversight
- Periodic independent assurance of compliance effectiveness
- Specific disclosures

Principle 14: The governing body should that the organisation remunerates fairly, responsibly and transparently so as to promote the achievement of strategic objectives and positive outcomes in the short, medium and long-term

- Assume responsibility
- Set direction
- Approve policy
- Delegate responsibility for risk management
- Ongoing oversight
- Specific disclosures in a remuneration report

Principle 15: The governing body should ensure that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision-making and of the organisation’s external reports

- Combined assurance (levels of defence)
- Assurance of external reports
- Internal audit
- Ongoing oversight
- Periodic independent assurance of compliance effectiveness
- Specific disclosures

Principle 16: In the execution of its governance role and responsibilities, the governing body should adopt a stakeholder-inclusive approach that balances the needs, interests and expectations of material stakeholders in the best interests of the organisation over time

- Stakeholder relationships
- Set direction
- Approve policy
- Delegate responsibility for risk management
- Ongoing oversight
- Specific disclosures in a remuneration report
- Shareholder relationship – i.e. proactiveness; handling queries; equitable treatment
- Relationships within a group of companies – specific guidelines on managing conflicts, information sharing; applicability of governance across the group

16+1

Principle 17: The governing body of an institutional investor organisation should ensure that responsible investment is practices by the organisation to promote the good governance and the creation of value by the companies in which it invests

- Assume responsibility
- Approve policy
- Delegate to management
- Oversee outsourced functions
- Disclosure

King V Draft

What are the key changes…*if any*?

Real-World Impact?

Does any of this *actually* make a difference?

 1:11:00 why King is NB for analyst investing

The Importance of Governance in Investment Strategies

- Governance as a Key Indicator for Investors
  - Sound governance fosters trust and transparency.
  - Links to financial stability and long-term value creation.
- Poor governance risks:
  - Reputational damage.
  - Financial instability and regulatory sanctions.
- King IV Code?
  - Ethical leadership and accountability.
  - Transparency and stakeholder inclusivity.
  - Effective control and legitimacy.

look @ black rock 1:13:50

Case Study: Steinhoff International

- Governance failure at Steinhoff International:
  - Accounting fraud of over €6 billion.
  - Share price collapsed by over 95%.
- Impacts:
  - Reputational damage and loss of social capital.
  - Investors lost confidence, and stakeholders were affected.
- Takeaway:
  - Strong governance ensures stability and trust.
  - King IV as a framework to mitigate such risks.

Reading

Prescribed:

King IV Code: available in e-format via https://www.iodsa.co.za/page/king-iv

- Foreword
- Part 2 (pages 20-33)

Thank You